

LM06 Hedge Funds

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1. Introduction

This learning module covers:

- Investment features of hedge funds
- Investment forms and vehicles used in hedge fund investments
- Sources of risk, return and diversification benefits of hedge funds.

History: Hedge funds were originally started in 1949 as a way to hedge long-only stock portfolio. These funds followed three key principles:

- Always maintain short positions.
- Always use leverage.
- Only charge an incentive fee of 20% of the profits with no fixed fees.

Over time, the principles have changed. The following are the characteristics of hedge funds today:

- Aggressively managed portfolios of investments across asset classes and regions, use leverage, take long/short positions, and/or use derivatives.
- Generate high returns: either absolute or over a specified benchmark with minimal restrictions.
- Set up a private investment partnership with a limited number of investors who are willing to make a large initial investment.
- Investors are required to keep the money with the fund for a certain period – lockup period. Redemptions are not immediate. Usually, require a minimum notice period of 30 to 90 days.
- Invest anywhere there is a high return opportunity as restrictions are less.

2. Hedge Fund Investment Features

Hedge funds are private investment vehicles that pool money from institutions and high net worth individuals (accredited investors). Hedge funds typically have more flexible investment strategies than mutual funds and exchange-traded funds (ETFs).

Most hedge funds utilize some form of leverage (short selling, borrowing, derivatives, or sometimes all three) to enhance potential returns.

Hedge funds are not an asset class, but rather a collection of investment vehicles driven by a diverse set of investment strategies. Hedge funds are typically classified by strategy into five broad categories:

- **Event-driven:** A short term, bottom-up strategy that aims to profit from pricing inefficiencies before a major potential corporate event. Ex: bankruptcy, acquisition, merger, restructuring of a company, asset sale (large pocket of land in a prime location).
- **Relative value:** A strategy that seeks to profit from price discrepancy between related

securities such as stocks and bonds.

- **Opportunistic:** Focuses on macro events and commodity trading.
- **Equity hedge:** Bottom-up strategy. Not focused on event-driven or macro strategies. Take long and short positions in publicly traded equity/equity derivative securities.
- **Multi-manager hedge funds:** Refers to a fund-of-fund hedge fund (explained later).

The sub-classifications under each category are listed below:

Sub-classification under event-driven category	
Merger Arbitrage	• Go long (buying) on the stock of the company being acquired and go short on the stock of the acquiring company. • Risk: many corporate events such as merger do not occur as planned and if the fund has not closed its positions on time, it may incur losses.
Distressed/restructuring	• Purchase and profit from debt securities of companies that are either in bankruptcy or near bankruptcy. • Strategy: the fixed income securities would be priced at a significant discount to their par value; these can be sold later at a profit at settlement (liquidation or equity stake) • Other complicated strategies: Buy senior debt/short junior debt. • Buy preferred stock/short common stock.
Activist	• Purchase a managing equity stake in a public company that is believed to be mismanaged, and then influence its policies. • May advocate restructure, changes in strategy, hiving off non-profitable units, etc.
Special Situations	• Purchase equity of companies engaged in restructuring activities other than merger/bankruptcy.
Sub-classification under relative value category	
Fixed-Income Convertible Arbitrage	• A market neutral strategy to exploit mispricing in convertible bond and issuer's stock. • Long position in convertible debt + short position in issuer's common stock. • As the name implies, it has a theoretical zero-beta portfolio. <i>Note: A convertible bond is a bond (hybrid security) that can be converted into common stock at a pre-determined price at a pre-determined time. Usually, the yield is lower than a comparable bond.</i>

Fixed-Income Asset Backed	• Exploit mispricing of asset-backed securities.
Fixed-Income General	• Exploit mispricing between two corporate issuers (i.e. long/short trades), between corporate and government issuers, or between different parts of the same issuer's capital structure.
Volatility	• Go long or short market volatility within a specific asset class.
Multi-Strategy	• Generate consistently absolute positive returns irrespective of how the equity, debt, or currency markets are performing. • Does not focus on one strategy, but allocates capital across different strategies where investment opportunities exist. Ex: equity long/short, convertible arbitrage, merger arbitrage, etc. • Unlike funds of funds, multi-strategy funds execute strategies within one fund group and they do not have the extra layer of fees associated with a fund of funds.
Sub-classifications under opportunistic strategies	
Macro strategies	• Uses a top-down approach to identify trends based on changes in economic policies across the globe. • The strategies could focus on currency markets, fixed income markets, or based on changes in interest rates. • Trades are based on expected movement in economic variables.
Managed futures	• Actively managed funds that make diversified directional investments in futures markets using technical and fundamental strategies. • Because they have historically focused on commodity futures, managed futures funds are also known as commodity trading advisers (CTAs).
Sub-classifications under the equity hedge category	
Fundamental long/short	• The hedge fund takes long positions in undervalued securities and short positions in overvalued securities. • The manager typically maintains a net long exposure but may adjust the amount of net market risk depending on his or her market forecast.

Market Neutral	• Uses quantitative/fundamental analysis to identify undervalued/overvalued securities. • Strategy: buy (long) undervalued securities and sell (short) overvalued securities. Hold equal dollar amounts in both positions. • Neutral with respect to market risk, i.e., the portfolio beta is close to zero.
Fundamental Growth	• Uses fundamental analysis to identify companies with high growth potential and capital appreciation. • Strategy: long position in such stocks.
Fundamental Value	• Uses fundamental analysis to identify undervalued companies. • Strategy: long position in such stocks.
Short Bias	• Uses quantitative/fundamental analysis to identify overvalued securities. • Strategy: short position in overvalued securities.

Distinguishing Characteristics of Hedge Fund Investments

The key characteristics of hedge funds that distinguish them from traditional investments are:

1. Fewer legal and regulatory constraints.
2. Flexible mandates that allow the use of shorting and derivatives.
3. A larger investment universe to choose from.
4. Aggressive investment styles that permit concentrated positions in securities offering exposure to credit, volatility, and liquidity risk premiums.
5. Relatively liberal use of leverage.
6. Liquidity constraints such as lockups and liquidity gates.
7. Relatively high fee structures with management and incentive fees.

3. Hedge Fund Investment Forms

Direct Hedge Fund Investment Forms

The majority of hedge funds are structured as limited partnerships, with the portfolio manager serving as the general partner (GP) and the institutional investors serving as limited partners (LPs). This is referred to as the direct form of hedge fund setup.

A common hedge fund fee structure is “2 and 20” – the hedge fund manager receives a 2% management fee on the fund’s AUM and a 20% of the fund’s net profit. Recently, due to pressure from investors, hedge funds now offer a “1 or 30” fee structure – where the manager

receives the greater of a 1% management fee or an incentive fee of 30% of the fund's outperformance against a benchmark (instead of a performance fee based simply on total profits.)

The fund offering documents govern the legal and contractual relationship between GPs and LPs. Additionally, a manager could create a "side letter" that is only applicable to certain investors and has different legal, regulatory, tax, operational, or reporting requirements.

For larger investors, the hedge fund could be structured as a fund of one or a separately managed account (SMA). In the case of a fund of one structure, the hedge fund is created for one investor. In the case of an SMA, the investor creates his or her own investment vehicle and the underlying assets are held and registered in investor's name. However, the day-to-day management of the account is delegated to the hedge fund manager.

An SMA structure allows for a customizable portfolio with investor-specific investment mandates, improved transparency, efficient capital allocation, and increased liquidity, allowing the investor to exercise greater control while keeping the fees low.

Indirect Hedge Fund Investment Forms

Selecting and investing in an individual hedge fund can be difficult because of the extensive due diligence required and the high minimum investment threshold. Therefore, some investors may prefer to invest in a fund of hedge funds.

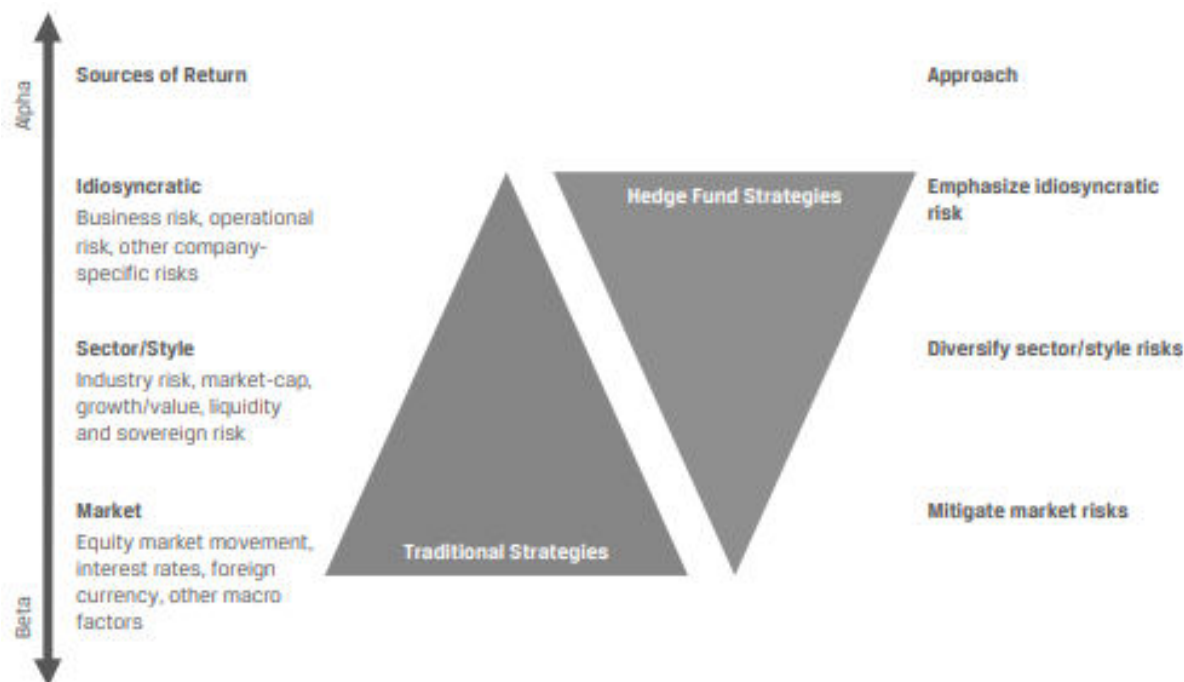
A diversified portfolio of hedge funds is often referred to as a **fund of funds**. This instrument makes hedge funds accessible to smaller investors or to those who do not have the resources, time, or expertise to choose among hedge fund managers. Other benefits include:

- Better redemption terms
- Due diligence expertise
- More diversification as they invest in hedge funds across geographies and strategies

However, fund of funds may charge an additional 1% management fee and 10% incentive fee on top of the fees charged by the underlying hedge funds. This double layer of fees can significantly reduce the after fee returns to the investor.

4. Hedge Fund Investment Risk, Return, and Diversification

As shown in Exhibit 5 of the curriculum, hedge funds have a different approach towards return generation as compared to traditional investments. Hedge funds seek to limit market exposure and returns from beta and primarily focus on generating idiosyncratic returns by identifying sources of unique return, or alpha. The primary source of hedge fund excess return is market inefficiencies and the manager's skill to capitalize on them.



Several hedge fund indexes are created using publicly available hedge fund data. However, these indexes suffer from the following biases:

- **Self-reporting bias:** Only high-performing funds are likely to make data available to the public.
- **Survivorship bias:** Hedge funds that have stopped reporting are removed from the index.
- **Backfill bias:** When a new hedge fund starts reporting for the first time, its past performance is also added to the index. It is very likely that the fund began reporting because it had a stellar past performance.

These biases cause the index return to be overstated as compared to the actual performance.

Historically, hedge funds have provided higher returns than either stocks or bonds with a relatively low standard deviation. They have certainly added value to institutional investors as a portfolio diversifier.

Diversification Benefits of Hedge Fund Investments

Hedge funds use several strategies such as market-neutral, relative value, and event-driven strategies to achieve diversification benefits and outperform equity markets on a risk-adjusted basis.

It is believed that less-than-perfect correlation of hedge funds with stocks provides diversification benefit. However, during financial crisis periods, the correlation between hedge fund performance and stock market performance may increase.

Between 2009 – 2019, most hedge funds failed to beat the performance of equity and bonds. But they still continue to be a part of institutional asset allocations because of their risk-diversification properties.

Summary

LO: Explain investment features of hedge funds and contrast them with other asset classes.

Hedge funds are private investment vehicles that pool money from institutions and high net worth individuals (accredited investors).

Hedge funds are typically classified by strategy into five broad categories (as shown in Exhibit 1 from the curriculum):

Equity	Event Driven	Relative Value	Opportunistic	Multi-Manager
Long/Short Equity	Merger Arbitrage	Convertible Bond Arbitrage	Global Macro	Fund of Funds
Short Biased	Distressed	Fixed-Income Arbitrage	Managed Futures	
Market Neutral	Special Situations Activist	Multi-Strategy		

The key characteristics of hedge funds that distinguish them from traditional investments are:

1. Fewer legal and regulatory constraints.
2. Flexible mandates that allow the use of shorting and derivatives.
3. A larger investment universe to choose from.
4. Aggressive investment styles that permit concentrated positions in securities offering exposure to credit, volatility, and liquidity risk premiums.
5. Relatively liberal use of leverage.
6. Liquidity constraints such as lockups and liquidity gates.
7. Relatively high fee structures with management and incentive fees.

LO: Describe investment forms and vehicles used in hedge fund investments.

The majority of hedge funds are structured as limited partnerships, with the portfolio manager serving as the general partner (GP) and the institutional investors serving as limited partners (LPs). This is referred to as the direct form of hedge fund setup.

For larger investors, the hedge fund could be structured as a fund of one or a separately managed account (SMA).

For smaller and retail investors, indirect forms, such as funds of funds, help obtain a hedge

fund exposure.

LO: Analyze sources of risk, return, and diversification among hedge fund investments.

Hedge funds seek to limit market exposure and returns from beta and primarily focus on generating idiosyncratic returns by identifying sources of unique return, or alpha. The primary source of hedge fund excess return is market inefficiencies and the manager's skill to capitalize on them.

Hedge funds use several strategies such as market-neutral, relative value, and event-driven strategies to achieve diversification benefits and outperform equity markets on a risk-adjusted basis.